through a distinctive model where sustainability and inclusivity are core pillars of strategy, governance and programmes.

ITC is the only company in the world to be carbon positive, water positive and solid waste recycling positive for around 2 decades now. ITC's businesses support nearly 9 million sustainable livelihoods.

Decarbonisation remains an important element of our climate action. Over the years, your Company has made significant investments in areas like renewable energy, green infrastructure and mobility. It is a matter of immense satisfaction that ITC has **surpassed several of its ambitious 2030 Sustainability 2.0 targets**, even as our businesses have expanded considerably. We are now committed to achieving **Net Zero Operations by 2050**, entailing a reduction in GHG by over 85% in the next 25 years.

> **"What differentiates ITC's sustainability journey is a triad of achievements. First, Longevity, that is reflected in decades of sustained environmental impact. Second, Scale, which is demonstrated through the massive creation of ecological capital and support to millions of livelihoods. Third, Integration, through a distinctive model where sustainability and inclusivity are core pillars of strategy, governance and programmes."**

While Decarbonisation has gained significant traction globally, **Adaptation** measures have not drawn the attention they deserve. The world, after breaching the 1.5^{0}C threshold last year, is headed towards 2.8^{0}C warming in this century if stronger pathways are not pursued. This is clearly alarming and calls for decisive and urgent action.

Recognising this, ITC has implemented impactful **Adaptation** and **Nature-based Solutions** for ecosystem restoration that strengthens climate resilience, enhances farm productivity, water availability, green cover and biodiversity while supporting rural livelihoods. ITC's **Climate Smart Agriculture**, which now spans nearly **32 lakh acres** across 17 States, benefits over **12 lakh farmers**. It is premised on focused programmes that **build strong capabilities through skilling, technology adoption and development of institutional linkages.** We propose to cover **40 lakh acres under this initiative by 2030.** Impact studies have shown that CSA practices in rice and wheat have reduced costs **by over 20%, improved yields by around 10% and enhanced net returns by over 23%** compared to conventional practices.

Your Company has built deep capabilities in water stewardship, afforestation and biodiversity conservation. ITC's **large-scale water management interventions** follow a three-pronged approach — community-led watershed programmes, demand-side agricultural water management and revival of river sub-basins. Demand-side initiatives, focussing on **"more crop per drop"**, cover over 20 lakh acres, creating annual water-saving potential of **up to 50% across 15 crops, aggregating to 1.5 billion cubic metres.**

Supply-side watershed projects cumulatively span nearly **20 lakh acres**, helping around **90% of farmers** in catchments to cultivate through the year. Four river sub-basins have been made water positive, with work under way on the fifth. Such water stewardship interventions have improved gross cropped area by as much as 12%, cropping intensity and groundwater levels by up to 14 and 15% whilst delivering larger benefits for communities.

Biodiversity conservation is a key priority area for sustaining natural ecosystems, strengthening agri-food security, supporting rural livelihoods and building long-term resilience. Your Company's programme focuses on restoring ecosystem services that support agriculture. This is expected to cover **nearly 10 lakh acres by 2030.**

Your Company's **Social Investments Programme spans 275 districts in 20 States**, cumulatively benefiting over **10 million people**, including **6 million women** while amplifying impact with 98 public-private-people partnerships. While the scale and outcomes are deeply satisfying, what inspires us to do more are the human stories behind the numbers.

It is heartening to **witness farmers with better incomes, women with greater economic agency, children with stronger learning foundations and youth with improved employability.** This larger purpose to make a meaningful difference defines the core of our social endeavours.

India's ancient wisdom enshrined in ***Vasudhaiva Kutumbakam*** reminds us that the world is one family, and the responsibility to protect our only home — the planet as well as its people — rests on all of us. We believe that our **'dharma' of Responsible Competitiveness** and the spirit of **'Aparigraha' to mindfully use resources** as well as **'Abhyudaya' which is premised on simultaneous economic and societal progress**, are timeless principles that will continue to inspire us in creating enduring value for all stakeholders.

In Conclusion

As India advances towards becoming a developed nation, ITC will remain steadfast in its commitment to serve with purpose, innovate with responsibility, grow with the nation and multiply value for our country. **Our heart and soul have always belonged to India. This has been our legacy. It will remain our promise.**

It is a privilege for ITC to be part of this momentous journey — powered by an inspiring Vision, guided by unshakeable Values, and energised by renewed Vitality.

As I conclude, I would like to reaffirm my belief that your Company's greatest and most enduring asset is its people. It is their dedication, ingenuity and unwavering commitment that give wings to our ambition, resilience to our efforts and purpose to our progress. Their dedication gives us the courage to dream boldly and shape ITC as an exemplary institution of a new India with **passion, performance and purpose.**

On behalf of the Board and myself, I thank all our stakeholders for their continued trust, support and encouragement.

Together, let us partner India and help build a future worthy of the aspirations of this great nation.